

MEMORANDUM

TO: Client Defense Team

FROM: Ann Tropea, Attorney at law

SUBJECT: Opposition to Phased Trials

File No. xx,xxx

QUESTION PRESENTED

Whether the purpose and limitations imbedded in class action litigation can be employed to oppose attempt by plaintiffs' counsel to conduct a mass, phased-trial for over 800 plaintiffs in individually-filed cases, where plaintiffs' have not filed a motion to consolidate or to certify a class.

BRIEF ANSWER

Probably yes. Attempts to conduct a quasi-class action by plaintiffs' counsel may be opposed for the following reasons:

1. The phased-trial structure permitted in the context of some class actions does not promote the asserted goal of a streamlined trial.
2. The necessary inquiry into individual causation required in toxic exposure cases vitiates the justification for a "common issues" phase to the trial.
3. Utilizing the case management tools available in class actions without having to comply with the procedural rules and safeguards embedded in Rule 23 is arguably unfair to defendants.

DISCUSSION

The class action was developed as "an exception to the usual rule that litigation is conducted by and on behalf of the individual named parties only," and as a way to conserve judicial resources by litigating issues potentially affecting every class member in an efficient manner. *Gen. Tel. Co. of Sw. v. Falcon*, 457 U.S. 147, 155 (1982). The potential for abuse by "the court's gestalt judgment" is tempered, however, by the procedural safeguards contained in the rule governing

class actions. *Amchem Prods., Inc. v. Windsor*, 521 U.S. 591, 621 (1997) (stating that class certification is not based on a “fairness” inquiry” as that would render the requirements set forth under Rule 23 meaningless). Class certification also affects the way in which the litigation progresses, and “determines the stakes, the structure of trial and methods of proof, the scope and timing of discovery and motion practice, and the length and cost of the litigation. Manual for Complex Litigation, Third § 30.1 (1995).

The Fifth Circuit has noted that the district courts have wide discretion to manage the litigation, and has allowed class actions to proceed by conducting a “common issues” trial with respect to liability, followed by a series of mini trials with small groups of plaintiffs addressing “causation, damages, and comparative negligence.” *Mullen v. Treasure Chest Casino, LLC*, 186 F.3d 620, 623 (5th Cir. 1999). In toxic exposure cases, however, “[c]ourts have repeatedly held that claims for personal and emotional injuries ... are inappropriate for class treatment because individualized factual issues concerning specific causation and damages predominate over any common issues.” *Myers v. BP Am., Inc.*, No. 08-0168, 2009 WL 2341983, at *5 (W.D. La. July 29, 2009) (citing *Steering Comm. v. Exxon Mobil Corp.*, 461 F.3d 598, 601-04 (5th Cir. 2006)). For those cases where class certification is inappropriate, there are other ways to streamline impending litigation using other “case management tools, including narrowing the claims and potential plaintiffs through summary judgment.” *Exxon*, 461 F.3d at 604.

In *Myers*, the district court denied the plaintiffs’ request to certify a class to litigate their exposure claims arising from a release of airborne radiation dust as a result of an oil platform decommissioning project. *Myers*, 2009 WL 2341983, at *1. The plaintiffs argued that because the cause of exposure itself was a common issue, class certification was appropriate. *Id.* at *8. The district court disagreed, stating that although the issue of exposure was a common issue, determining causation would require a searching, individualized inquiry:

[E]ach individual plaintiff must meet the burden of medical causation, which, in turn, will depend on any number of factors enumerated by the experts who would testify at trial, including the level of each plaintiff’s individual exposure (which will, in turn, depend on the length of time each spent at the job site and the location of each plaintiff on the site relative to the NORM impacted material) each plaintiff’s pre-existing medical history, susceptibility to illness, type of symptom or illness each plaintiff may experience (if any), and type of medical treatment rendered, or which may be rendered, in the future.

Id. Thus, the district court denied class certification, finding that “difficult questions of causation which are presented in this case preclude a class wide finding that any particular class member’s claimed damage resulted necessarily and immediately and directly from the defendants’ alleged breach.” *Id.* (internal citations omitted).

In the recent Vioxx litigation, the Eastern District reached a similar conclusion when it denied class certification to those potential plaintiffs who allegedly suffered injury as a result of ingesting Vioxx. *See In re Vioxx Prod. Liab. Litig.*, 239 F.R.D. 450 (E.D. La. 2006). In *Vioxx*, the district court rejected plaintiffs' proposal for a phased trial that was "designed to obtain a preliminary finding of liability, followed by a second phase involving individual determination of causation and damages." *Id.* at 462 (internal quotation marks omitted). The Court found that the phased trial structure would not create a more efficient system of trial, as the proposal failed to "eliminate the highly individualized inquiry of whether Vioxx specifically caused the injury alleged by each plaintiff in light of his or her medical history, family history, other risk factors, and use of the drug." *Id.* Citing a law review article from the University of Illinois, the court additionally noted that resolving the general causation issue as an initial matter would do little, if anything, to change the overall course of the litigation:

Mass trials on the issue of "general" causation create substantial savings only when plaintiffs lose because this leads immediately to the dismissal of large numbers of mass tort claims, as the Bendectin case illustrates. Rarely, however, will a mass trial lead to the prompt entry of judgment in favor of a large group of plaintiffs against one or more defendants because even if the first jury finds, for example, that the defendant's product could have caused the plaintiff's injury, individual trials will still be necessary to determine specific causation, whether any affirmative defenses are available to the defendant, and the extent of the plaintiff's damages. Little or no time and expense will be saved in these individual trials by virtue of the preceding mass trial on general causation.

Id. (citing Roger H. Trangsrud, *Mass Trials in Mass Tort Cases: A Dissent*, 1989 U. Ill. L.Rev. 69, 79). Finally, the *Vioxx* court rejected plaintiffs' reliance on mass disaster cases based on recent Fifth Circuit jurisprudence indicating that, although the cause of injury may be the same, the necessity of proving individual causation for each plaintiff would cause the action to degenerate into multiple, individual lawsuits. *Id.* (citing *Steering Comm. v. Exxon Mobil Corp.*, 461 F.3d 598 (5th Cir. 2006 (finding that the hundreds of individual suits filed against Exxon alleging toxic exposure resulting from an oil spill that caught fire were unable to be tried together as a class action, as individual causation issued predominated))).

Here, plaintiffs' counsel has suggested that the 14th Judicial District Court adopt a phased trial similar to that allowed in the class action context. First, counsel's arguments in favor are strikingly similar to the plaintiffs' efficiency arguments rejected by the Western District in *Myers*, and the Eastern District in *Vioxx*. The cases filed against Client suffer the same defect that precluded the *Myers*, *Vioxx* and *Exxon* courts from certifying classes for the hundreds of individual actions filed in each of those cases; the purpose behind conducting a class action (or a phased trial) is to promote efficiency and to streamline the litigation process. If the proposed trial structure does neither, there can be no logical reason for a trial court to adopt that structure in the face of contrary jurisprudence, and the lack of any affirmative support.

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Second, counsel's proposal is inappropriate due to the necessity that each plaintiff prove injury and causation. As Client has stipulated to fault, the "common issues" identified by the *Myers* court have already been determined, thereby negating any predicate for a phased trial. The individual issues are all that remain, and conducting a phase one "common issues" trial would do nothing, as noted by the *Vioxx* court, to further the litigation as individual issues necessarily predominate to determine the amount, if any, of compensatory damages owed to each plaintiff.

Finally, the U.S. Supreme Court has noted that the class action exists as an exception to the general rule requiring actions to be brought and maintained by individually-named parties. Counsel in this case, however, seeks to use the powerful case management tools available in class actions without the necessity of complying with the procedural rules and safeguards imbedded in the class action framework. Arguably, because class actions require unique pre-trial management strategies as suggested by the Manual for Complex Litigation (cited above), allowing counsel to proceed with a quasi-class at this late stage of the litigation is ultimately unfair to defendants, who have not had the benefit of preparing a defense with the class structure in mind.